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Pension schemes face practical barriers to investing in UK growth, finds TPR

Success of Mansion House will depend on a ‘pipeline of UK investment opportunities’



Alex Levy

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Image: Mansion House (iStock.com/ElenaZolotova)

Pension schemes want to invest in UK private markets, provided investments meet scheme needs, but progress is being held back by practical barriers and structural limitations, a report from The Pensions Regulator (TPR) finds.

For the report – [Market oversight: UK pension funds - private market investment](#) – the regulator spoke to more than 40 key stakeholders, including investment consultants, trustees, pension schemes, industry bodies, and supply-side participants including investment managers.

The report identified a current lack of investible opportunities with the right characteristics for pension schemes and the government facilitating a pipeline of UK investment opportunities was seen by many surveyed as "one of the critical enablers" for the success of the Mansion House Accords.

A tension between trustees' fiduciary duty to invest in members' best interests and private market allocation goals was also a consistent theme in TPR's research, leading some schemes to avoid setting hard targets for UK private market allocations.

Expertise lacking to drive investment

TPR said there was also a "potential knowledge gap" around private market investments, with a need to improve understanding among trustees and advisers of these investments and how they translate to improved member outcomes.

In particular, the regulator highlighted the more sophisticated governance and risk management needed and said the defined contribution (DC) consulting industry suffered from a "lack of specialist skills and resources" in private as opposed to public markets.

The regulator's engagement also revealed points of legislation where reform could remove barriers to investment, such as alignment in how performance-based fees are treated in trust- and contract-based arrangements and provisions within the regime for employer-related investments.

Concerns persist around the level of performance-related fees, the "opaque nature" of additional charges, and a lack of clarity over how private market investment costs were treated in charge cap calculations.

‘Significant progress’ from larger schemes

TPR said there had been significant progress in deploying capital to private markets by schemes with the necessary scale and capacity, with [2025 analysis of master trust asset allocations](#) showing most schemes had some exposure.

The regulator expects growth in investment to be driven on the one hand by capital inflows into occupational DC schemes, taking assets under management to £1tn by 2036.

It also said that as investment and governance experience with the asset class matures, there is potential for schemes to move beyond typical allocations of 5-10% and make fresh, more material allocations.

Under the Pension Schemes Act, DC schemes will be required to have assets under management (AUM) of at least £25bn in a main scale default arrangement (MSDA).

The report also suggested that reforms like guided retirement and collective DC arrangements may spread schemes' investment in private markets more broadly, where this investment is currently concentrated in the accumulation phase.

The status quo in private market investment

In terms of asset class, DC schemes are currently mostly committed to asset classes including private equity, private credit, infrastructure and real estate, with less appetite for venture capital or natural capital.

The report said that many DC schemes making their first material investment to private markets, beyond real estate, have opted for diversified funds. Long-term asset funds (LTAFs) offered by provider's organisations have also offered a route into private markets, while more experienced schemes have started to invest in single-strategy satellite portfolios.

TPR noted that while some DC schemes have put in place structures to enable co-investments alongside private market investment funds, none of the DC-only schemes were yet in a position to consider direct investments.

Defined benefit (DB) schemes across the board had limited appetite for private market investments. The riskier and more illiquid nature of private market asset classes made them less attractive, particularly given their potential to limit endgame flexibility.

Some schemes currently targeted 10% of assets under management invested in private markets by 2030, with a minimum of 5% invested in the UK. Some had a 10% target for private markets in general, but no hard target for the UK, while others had much higher targets.

Research for the report did not include local government pension schemes due to their existing "significant history" of private market investment.

TPR's executive director of market oversight Ben Gunnee said: "Pension schemes want to invest in private markets, but many schemes are currently experiencing practical barriers that limit their opportunity for investment."

Pensions minister Torsten Bell said: "Pensions are a huge source of potential investment in this country, and we want schemes to be able to back UK growth as well as deliver good outcomes for their members."

"This research moves us closer to understanding the barriers holding schemes back, helping us work with industry to unlock investment that supports a stronger economy and better retirements for savers."

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